

# Marketing Strategy

By leveraging the 96% precision of the Ensemble scoring system for low-risk applicants, the bank can transition from a defensive "risk-avoidance" posture to an offensive, high-growth strategy. This plan focuses on acquiring premium customers while virtually eliminating the cost of default through predictive intelligence.

Ultimately, this plan is more than a marketing campaign; it is an Intelligence-Led Growth Engine. We are leveraging our 0.7850 AUC precision to move beyond simple risk assessment and toward aggressive market competition. We are not merely avoiding losses, we are engineering a more profitable, lower-risk future for the institution.

## 1. The "Gold-Standard" Campaign (Core Acquisition)

Instead of a "one-size-fits-all" pricing model, we will launch a campaign specifically designed to attract high-confidence prospects identified by the model.

Targeted Interest-Rate Discounts: Offer "Elite Tier" interest rates exclusively to applicants who mirror the characteristics of our most reliable historical clients.

The Hook: Position the bank as a partner that rewards financial health. Marketing messages should emphasize: "Your financial responsibility has earned you a rate others can't get."

The Goal: Differentiate our brand in a crowded market by offering superior value to the customers we know are profitable.

## 2. The Self-Selecting Marketing Funnel (Budget Efficiency)

Conventional marketing often wastes budget on broad demographics with high default potential. This strategy flips the script. Reallocate the marketing budget to focus exclusively on channels and segments that yield high-precision applicants. By targeting customers statistically guaranteed to be profitable, we maximize the Return on Ad Spend (ROAS) and increase the Customer Lifetime Value (LTV) from the very first interaction.

Risk Avoidance: By not incentivizing high-risk segments, we proactively build a premium, default-resistant portfolio without spending a euro on "bad" debt.

## 3. Automated Pre-Approval & Cross-Selling (Share of Wallet)

The high confidence of the Ensemble model allows us to remove friction from the customer journey, turning a standard loan into a long-term banking relationship. For applicants in the 96% precision tier, implement automated pre-approval. This speed-to-market is a massive competitive advantage—capturing the client before they look elsewhere.

Ancillary Product Expansion: At the moment of approval, offer pre-cleared ancillary products such as:

Premium Credit Cards.

Life/Loan Insurance.

Investment accounts.

The Result: This increases the bank's "Share of Wallet" and deepens customer loyalty with zero additional risk exposure.

#### **4. Long-Term Portfolio Sustainability**

The objective is to create a "virtuous cycle" of growth: High-quality clients stay longer when they feel rewarded with "Gold-Standard" rates and frictionless service. The €53 Million net profit identified in my analysis becomes a recurring baseline, as the model continuously identifies the "next generation" of safe borrowers.

Thank you.